Roadmap® ERP

Integrate Innovate Succeed

Roadmap ERP

Impeccably forges an Innovative way ahead for

Iron Casting Manufacturers – a Case Study

Brief Company Profile

With headquarters in Chennai, this Iron Casting Manufacturer has a legacy of continuously upgrading the iron industry since 1959. The growth trajectory of the company is quite evident in its technological endeavors – with the initial production of iron castings being done via Cupola, technical collaboration with international agencies for manufacturing patented ductile iron castings and pioneering the use of imported Electric Induction Melting Furnace. It is known to have mastered the art of manufacturing castings with accurate charge calculations & charge weighing. Their key product specializations include the manufacture of impact grade castings with radiographic quality in heavyweight & low volumes adhering to industrial standards of STM A536, BS EN 1563, BIS 2789, DIN EN 1563, IS 1865, JIS G 5502. The worldwide clientele ranges from renowned tyre manufacturing industries to thermal plants and from earthmoving equipment to railway safety parts provider.

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Infrastructure & Best Practices – An Outline

The Iron Casting Manufacturer has world-class infrastructure facilities of Sand Laboratory equipped to undertake Mechanical Testing & Impact Testing, Electronic Crane Weigher to weigh the quantity of metal being tapped, an Olympus Microscope with Image Analysis Software and NDT Facility. Taking it up a notch it has machines ranging from Heat Treatment Furnace to Shot Blasting Machine. Moreover, it is home to 2 Electric Induction Melting Furnace with an additional holding furnace to manufacture 2500 Kgs (single piece weight) & a sand reclamation plant. Roadmap ERP becomes its recent addition to existing software supports including Magma Simulation Software version 5.3 and Master Record (Master card) for every item.

Motivations to go for Roadmap ERP

The company existingly makes use of Microsoft Excel & Tally for accounting purposes viz. payments & receipt generation with non-strategic Charts of Accounts (COA), Supplier Codes (SC) classification. The Iron Casting Manufacturer's suppliers, expenses & revenues weren't maintained at a cost center leading to poor inter-departmental coordination – raising the following concerns:

1) **Lack of expense-wise budgetary allocation & maintenance.**
2) **Ambiguous Exchange Rates.**
3) **Financial statements released on imprecise schedule reports.**
4) **Lack of additional system-generated reports.**
5) **Isolated functioning of payroll & attendance software.**
6) **Manual preparation & generation of new employee induction related documents.**
7) **Manual Marketing & Sales cost estimation.**
8) **Manual Workflow approval for bank transactions.**

To rule out the concerns encountered, the company realized the dire need for a productive ERP solution and called for suitors. Amongst all the ERP solutions that responded to the firm's call, it found Roadmap ERP to be an economically & technologically sound system deemed to cater to each one of its concerns.

The shortcomings addressed by Roadmap ERP

1. General Ledger Management

Challenges

- The Charts of Accounts (COA) included inessential classifications of assets, liability, equity, revenue & expenses contributing to making the ledger management cumbersome.
- The Cost Centre currently wasn't formulated in any shape & form.
- No budget was allocated or maintained for future selective expenses.
- Custom rates were applicable for imports & exports whereas daily financial exchange rate was applicable for payments & receipts.
- The financial decisions were solely based on a limited set of Schedule III Excel reports viz. Balance Sheet Statement, Profit & Loss statement and Tally report viz. Trial Balance, Expense Ledger, Expense Party-Wise & Ledger – Wise statements.

Technological remedy

- Roadmap ERP skillfully made the ledger management seamless via essential group & subgroup classification into Assets, Current Assets, Liability & Current Liability.

- Roadmap ensured transparency by the creation of department-wise cost center for mutual sharing of departmental expenses with the provision of budget allocation & maintenance for future selective expenses.
- The unique strategy of considering the exchange rate at the time of customs clearance in the Sales Invoice & considering the final exchange rate price based on customs booking date & time was devised.
- The future financial decisions would now be based on Revised schedule VI reports generated from Roadmap ERP's data range parameters yielding Balance sheet, Profit and Loss, Cash Flow & Fund Flow statements (periodically, monthly, quarterly, half-yearly & annually) with other register type reports of Sales & Purchase Register, E-way Bill & GST Reports, Bank Collection & Bank Payment statements all-inclusive of statutory reports (TDS, TCS, ESI, PF, GST-TDS) , Expense Reports, Cost center wise Profit and Loss reports & Supplier/Customer wise ageing statement.

2. Accounts Payable Management

Challenges

- The company perpetually adopted inexplicable group-wise codification yielded Supplier Code which started with Group Name along with supplier's name. (For instance RM: CN viz, RM: Raw material & CN: Company Name)
- Currently, all bank transactions are manually approved by two company Directors.

Technological remedy

- Roadmap ERP's recommendation entailed for following common generic code based on Sub-Group's of suppliers viz. Raw Material supplier (SR0001), Consumables Supplier (SC0001), Service Supplier (SS0001) & Bought Out supplier (SB0001).
- The workflow approval process was introduced via Roadmap ERP making the supplier bills to be approved by the user & then forwarding the financial transactions for the Director's approval.

3. Accounts Receivable Management

Challenges

- Existingly, the debtors are reached manually via a formulated cover letter sent through e-mail detailing the overdue amount.

Technological remedy

- Roadmap automated the process of sending Dunning Letters to the Customers at regular intervals within the company's provided template.

4. Fixed Asset Management

Challenges

- Company assets were manually categorized into Land, building, Plant & Machinery, furniture & fittings, computers & UPS, vehicles, office equipment, furnaces, and software without the maintenance of Goods Receipt Note (GRN).
- The organizational level was considered to be the smallest functional unit for asset management leading to complex departmental affairs.
- The depreciation frequency of the tangible assets was manually calculated on a "Life in month" basis with a salvage value of 5% subjected to occasional deviations.
- The Fixed Asset Register was maintained group-wise making it difficult to funnel out & track individual assets.

Technological remedy

- The company's existing assets categorization will be addressed via Roadmap ERP ensuring GRN acknowledgment to automatically assign Fixed Asset ID's.
- Roadmap ERP to be enabled with departmental level as the smallest functional unit for streamlined asset management.
- The depreciation frequency of the tangible assets to be accurately determined by Life in Month auto calculation via ERP.
- The Fixed Asset Register to be maintained & implemented asset-wise via the Roadmap ERP standardized procedure.

5. HR & Payroll Management

Challenges

- Existingly this company uses ERP for payroll management and ESSL Time Track Biometric device for the attendance in isolation.
- The employee recruitment process related documents are formulated manually leading to poor record maintenance.

Technological remedy

- Roadmap initiated a coherent integration of the Biometric attendance system with the ERP product & based on the data input; Payroll calculation & management can be carried out seamlessly.
- The existing recruitment process to be ERP enabled for the digital generation of recruitment related documents.

Pursuits of Implementation: The way forward

The comprehensive inclusion of Roadmap full-suite ERP with the business workflow of the Iron Casting & Manufacturing Company has lead to making the organization whole with enhanced inter-departmental coordination – from bottom to top. The best-in-class ERP solution provides real-time data awareness streamlining production, procurement & delivery for wise decision making. After all, Roadmap ERP proved to be just the right technological remedy for all its industrial drawbacks.

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